How a home loan is approved in an Indian bank

D5 research note for the Nirnay point-of-view demo. Audience: Retail Lending head, mid-sized Indian bank. October 2026.

In short. A home loan passes through seven stages and at least six roles. Credit appraisal is judgement applied to data gathered from many places; legal and technical verification is the longest stage and stays human. The largest gains come from assembling the file at login, checking documents against independent sources, and applying policy identically on every file.

1. Stages, roles and checks

Stage	What happens	Who	Typical time
Sourcing and login	Application, KYC, income and property papers; file opened in the LOS; login fee	RM, DSA, builder tie-up, online	0 to 2 days
KYC and de-dupe	PAN, Aadhaar/OVD, CKYC; internal de-dupe and negative lists; field investigation of residence and office	Operations, FI agency	1 to 3 days
Credit appraisal	Bureau report; income from slips, Form 16, bank statements or ITR/GST; FOIR, eligibility, risk grade; appraisal note	Credit processing officer, credit manager	3 to 7 days
Legal and technical	Title search (13 to 30 years), encumbrance certificate, CERSAI search; site visit and valuation; RCU document sampling	Panel advocate, empanelled valuer, RCU	5 to 12 days (longest)
Sanction	Approval per delegation of financial powers; deviations escalate; sanction letter and Key Facts Statement	BCM, regional credit head, committee	1 to 4 days
Documentation	Agreement; mortgage by deposit of title deeds or registration; tripartite for under-construction; CERSAI registration within 30 days	Operations, legal	3 to 8 days
Disbursement	Payment to seller or builder; stage-linked tranches; EMI or pre-EMI starts	Operations	1 to 3 days

Lenders quote 7 to 15 working days to sanction and up to about 30 days to disbursement, faster for salaried applicants and slower for self-employed applicants and resale properties (Kotak). The demo's synthetic book averages about 18 working days to sanction, typical of manual appraisal at a mid-sized bank.

2. Rules that shape the process

- **LTV caps**: 90% up to ₹30 lakh, 80% to ₹75 lakh, 75% above; stamp duty excluded except for units up to ₹10 lakh. Risk weight 35% up to 80% LTV, 50% above (RBI, 16 Oct 2020).
- **External benchmark pricing**: floating retail loans linked to an external benchmark such as repo, reset at least quarterly (RBI, 4 Sep 2019). Repo rose 5.25% to 5.50% on 7 Oct 2026.
- **Key Facts Statement** with all-in APR for every retail loan from 1 Oct 2024 (RBI, 15 Apr 2024).
- **CERSAI**: register security interests within 30 days; search before sanction (SARFAESI s.23).
- **Release of documents** within 30 days of closure or ₹5,000 a day compensation (RBI, 13 Sep 2023).
- **No pre-payment charges** on floating-rate loans to individuals for non-business purposes, loans from 1 Jan 2026 (RBI directions, 2 Jul 2025).
- **KYC Master Direction** (CKYCR, V-CIP); written rejection reasons (Fair Practices Code); DPDP Act 2023 and Account Aggregator consent.

3. Pain points

- **Chasing and re-keying**: data gathered from the LOS, core banking, portals and PDFs and re-typed into the appraisal note.
- **Legal and technical is the long pole** and starts late because the file is incomplete at login.
- **Inconsistency**: FOIR and eligibility computed in personal spreadsheets; branches differ on the same facts.
- **Fraud**: inflated salary slips, forged or duplicate title deeds, multiple financing of one property (RBI and NHB advisories).
- **Policy drift**: rate or rule changes apply to new files only; in-flight files keep stale assessments.
- **Customer opacity**: applicants do not know the stage or what is missing.

4. Implications for the solution

- Assemble the whole file in a lakehouse at login so legal and technical can start on day one.
- AI reads documents and drafts; rules and arithmetic run in code and cite the clause; people decide.
- Cross-check documents against bank credits, Form 16, EPFO, GST and CERSAI, where fraud shows up.
- Keep decisions with the delegation of powers; make overrides easy, recorded and reviewed.
- Store policy as data so a change can be re-applied to files in progress.

5. How these findings were checked, and what to test with practitioners

Every rule above was checked against the RBI circular itself, not a summary; turnaround ranges come from lender disclosures. No interviews with banking practitioners were held before submission. Before the walkthrough I will test three claims with credit staff: (1) legal and technical is the longest stage; (2) FOIR deviations are the most common reason a file goes to a higher authority; (3) officers would accept a drafted note for sanction if every line shows its source. The 15-minute interview guide is ready.

Sources

RBI/2020-21/56 Individual Housing Loans: Rationalisation of Risk Weights (rbi.org.in, Id=11984); KS&K, Consolidation of housing finance rules (ksandk.com); RBI/2019-20/53 External Benchmark Based Lending (Id=11677); RBI KFS for Loans & Advances (Id=12663) and Vinod Kothari commentary; RBI Release of Property Documents (Id=12535); Business Standard on pre-payment directions (2 Jul 2025); RBI KYC Master Direction 2016; SCC Online, repo hike to 5.50% (9 Oct 2026); ClearTax and Kotak on CERSAI; Kotak, Home loan processing time; NHB, Fraudulent transactions in housing finance. Full links at /research in the demo.